

# Quarterly operations report

Q1 FY2027: July to September 2026 · Prepared by the Operations team, 12 October 2026

## 1 Summary

Revenue rose 5.0% to AUD 9.22 million, led by Queensland. Freight costs fell for the second quarter; see section 3, Supply chain.

- On-time delivery reached 96.4%.
- Timber purchasing moved further toward certified sources:
  - 88% of oak by volume is certified.
  - All veneer suppliers are now audited annually.
- Warranty claims fell to 0.6% of units shipped.

Revenue: AUD 9.22 m (+5.0%)

On-time delivery: 96.4%

Certified timber: 88%

## 2 Sales performance

Table 1 compares revenue by region with the same quarter last year. Revenue is reported excluding GST.

Table 1. Revenue by region, AUD thousands

| Region          | Q1 FY2026 | Q1 FY2027 | Change |
|-----------------|-----------|-----------|--------|
| Tasmania        | 1,284     | 1,412     | +10.0% |
| Victoria        | 2,905     | 3,118     | +7.3%  |
| New South Wales | 3,462     | 3,390     | -2.1%  |
| Queensland      | 1,127     | 1,301     | +15.4% |
| Total           | 8,778     | 9,221     | +5.0%  |

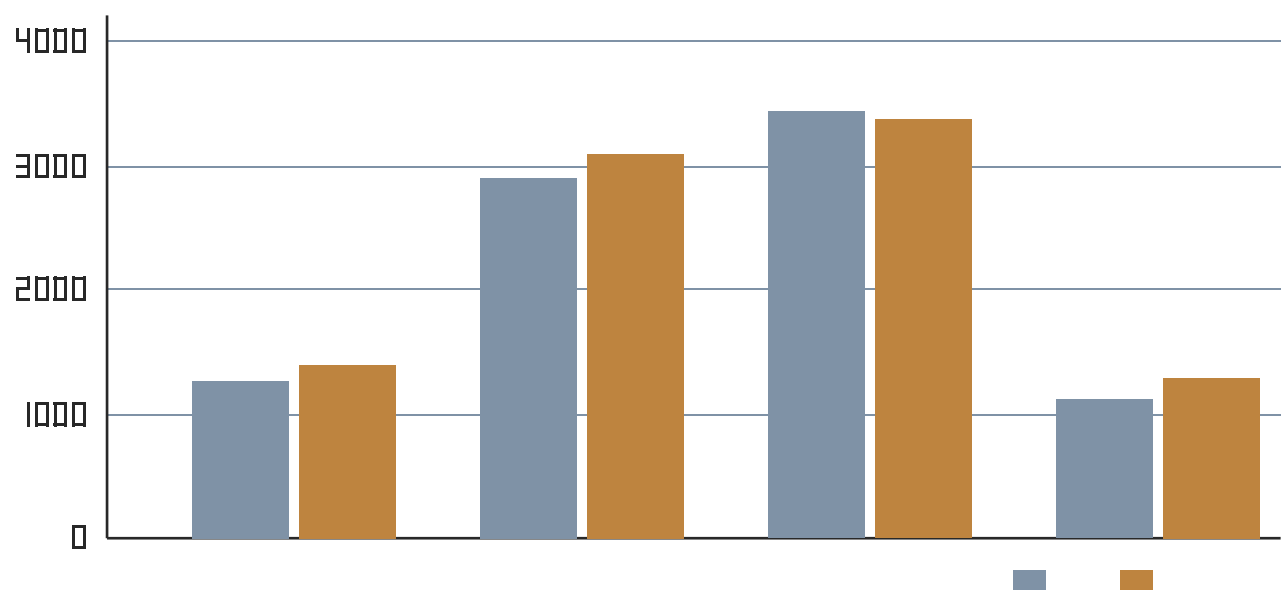


Figure 1. Revenue by region, AUD thousands

### 3 Supply chain

Freight and timber sourcing both improved this quarter. The two subsections below summarise the changes and the suppliers involved.

#### 3.1 Freight

Consolidated sailings across Bass Strait reduced the number of part-loaded containers by a third. Average freight cost per shipped unit fell from AUD 41.20 to AUD 37.85.

Pick lists now come directly from the warehouse system **WMS-7**, which removed a manual re-keying step and halved picking errors at the Moonah yard.

#### 3.2 Timber sourcing

Our partner Atelier Beaulieu puts it simply: « Le bois demande de la patience. » ("Timber asks for patience.") The Shanghai office marks approved stock with 中 on every board.

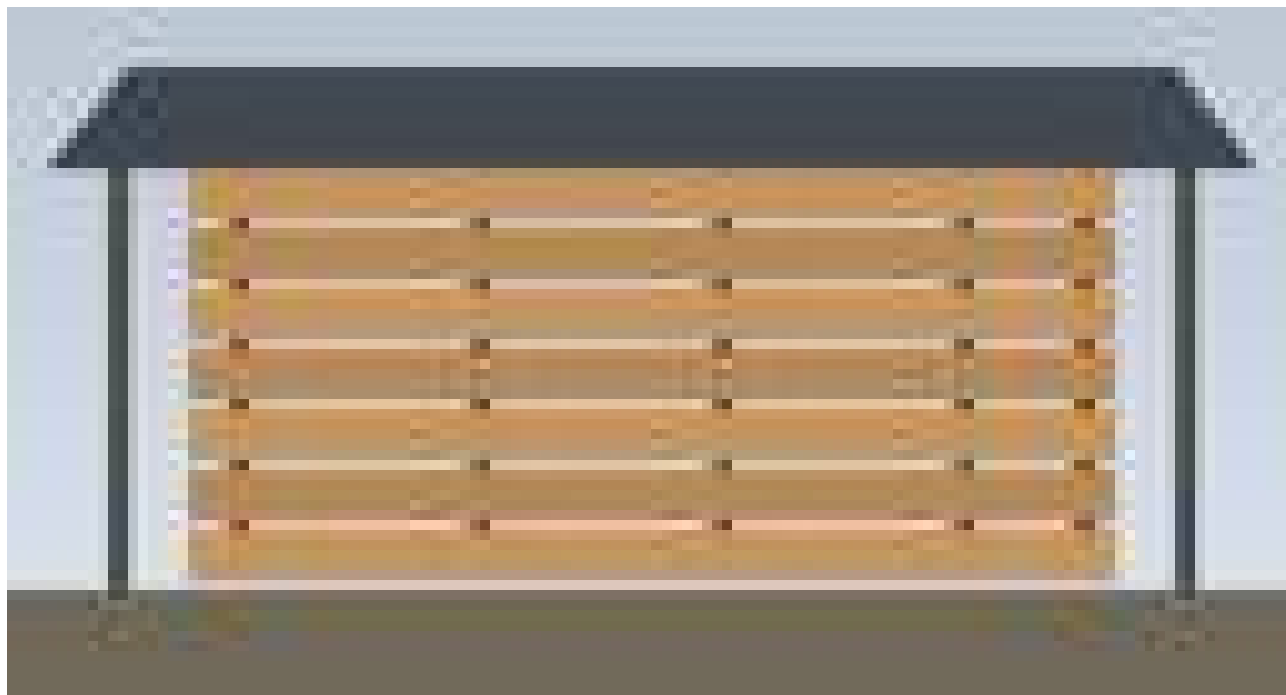


Figure 2. Air drying at the Moonah yard

## 4 Outlook

Next quarter's priorities follow our published sustainability commitments.

1. Commission the third kiln chamber at Moonah by November.
2. Extend certified sourcing to every timber category:
  - audit the remaining two veneer mills;
  - require chain-of-custody records for recovered oak.
3. Hold on-time delivery above 96% through the December peak.

## Appendix A. Supplier register

The register lists every supplier active at the end of the quarter, with spend in the quarter and certification status.

Table 2. Active suppliers at 30 September 2026

| Supplier                | Location        | Category | Spend (AUD thousands) | Certified |
|-------------------------|-----------------|----------|-----------------------|-----------|
| Derwent Valley Sawmills | New Norfolk TAS | Timber   | 120                   | Yes       |
| Huon Pine Traders       | Huonville TAS   | Timber   | 157                   | Yes       |
| Tamar Joinery Supplies  | Launceston TAS  | Hardware | 194                   | Yes       |
| Kestrel Steelworks      | Fremantle WA    | Steel    | 231                   | No        |
| Moonah Kiln Services    | Moonah TAS      | Services | 268                   | Yes       |
| Southern Cross Castors  | Dandenong VIC   | Hardware | 305                   | Yes       |
| Bass Strait Freight     | Devonport TAS   | Freight  | 342                   | Yes       |
| Atelier Beaulieu        | Lyon, France    | Timber   | 379                   | Yes       |

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| Supplier                         | Location        | Category | Spend (AUD thousands) | Certified |
|----------------------------------|-----------------|----------|-----------------------|-----------|
| Gippsland Veneers                | Morwell VIC     | Timber   | 416                   | No        |
| Riverina Oils                    | Wagga Wagga NSW | Finishes | 453                   | Yes       |
| Derwent Valley Sawmills (site 2) | New Norfolk TAS | Timber   | 490                   | Yes       |
| Huon Pine Traders (site 2)       | Huonville TAS   | Timber   | 127                   | Yes       |
| Tamar Joinery Supplies (site 2)  | Launceston TAS  | Hardware | 164                   | Yes       |
| Kestrel Steelworks (site 2)      | Fremantle WA    | Steel    | 201                   | No        |
| Moonah Kiln Services (site 2)    | Moonah TAS      | Services | 238                   | Yes       |
| Southern Cross Castors (site 2)  | Dandenong VIC   | Hardware | 275                   | Yes       |
| Bass Strait Freight (site 2)     | Devonport TAS   | Freight  | 312                   | Yes       |
| Atelier Beaulieu (site 2)        | Lyon, France    | Timber   | 349                   | Yes       |
| Gippsland Veneers (site 2)       | Morwell VIC     | Timber   | 386                   | No        |
| Riverina Oils (site 2)           | Wagga Wagga NSW | Finishes | 423                   | Yes       |
| Derwent Valley Sawmills (site 3) | New Norfolk TAS | Timber   | 460                   | Yes       |
| Huon Pine Traders (site 3)       | Huonville TAS   | Timber   | 497                   | Yes       |
| Tamar Joinery Supplies (site 3)  | Launceston TAS  | Hardware | 134                   | Yes       |
| Kestrel Steelworks (site 3)      | Fremantle WA    | Steel    | 171                   | No        |
| Moonah Kiln Services (site 3)    | Moonah TAS      | Services | 208                   | Yes       |
| Southern Cross Castors (site 3)  | Dandenong VIC   | Hardware | 245                   | Yes       |
| Bass Strait Freight (site 3)     | Devonport TAS   | Freight  | 282                   | Yes       |
| Atelier Beaulieu (site 3)        | Lyon, France    | Timber   | 319                   | Yes       |
| Gippsland Veneers (site 3)       | Morwell VIC     | Timber   | 356                   | No        |
| Riverina Oils (site 3)           | Wagga Wagga NSW | Finishes | 393                   | Yes       |
| Derwent Valley Sawmills (site 4) | New Norfolk TAS | Timber   | 430                   | Yes       |
| Huon Pine Traders (site 4)       | Huonville TAS   | Timber   | 467                   | Yes       |
| Tamar Joinery Supplies (site 4)  | Launceston TAS  | Hardware | 504                   | Yes       |
| Kestrel Steelworks (site 4)      | Fremantle WA    | Steel    | 141                   | No        |

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| Supplier                        | Location        | Category | Spend (AUD thousands) | Certified |
|---------------------------------|-----------------|----------|-----------------------|-----------|
| Moonah Kiln Services (site 4)   | Moonah TAS      | Services | 178                   | Yes       |
| Southern Cross Castors (site 4) | Dandenong VIC   | Hardware | 215                   | Yes       |
| Bass Strait Freight (site 4)    | Devonport TAS   | Freight  | 252                   | Yes       |
| Atelier Beaulieu (site 4)       | Lyon, France    | Timber   | 289                   | Yes       |
| Gippsland Veneers (site 4)      | Morwell VIC     | Timber   | 326                   | No        |
| Riverina Oils (site 4)          | Wagga Wagga NSW | Finishes | 363                   | Yes       |